

Paperstreet BTC

Bitcoin isn’t too volatile. You’re using the wrong yardstick.

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A mainstream economic framework

Bitcoin isn’t too volatile. You’re using the wrong yardstick.

Mainstream economists keep repeating the same sentence: Bitcoin is too volatile to be money. They are measuring the wrong thing. Volatility is not a property of Bitcoin. It is a property of the pair. As long as prices, wages, and contracts are written in dollars, you are watching a fixed-supply rule get marked against a credit-elastic stock. That cross-rate will keep moving. That is not a bug in Bitcoin. That is the test.

Two policies, one price

Bitcoin has a monetary rule: a capped supply, issuance that declines on a schedule, no committee that can print. The dollar has an authority: rates, QE and QT, deficits, bank credit, M2. U.S. M2 is now about $23 trillion and growing again. The large-economy money stock is in the $100 trillion range. Bitcoin’s entire market is still a sliver of that.

The BTC/USD price is the market equating those two stocks every second. There is no peg. There is no official bid. Discovery is public. A managed currency hides the adjustment in reserves, inflation, or capital controls. Bitcoin puts the whole adjustment in the price. Of course the pair looks lively. Gold looked “volatile” after 1971 for the same reason: the metal did not suddenly become erratic. The unit it was quoted in started to float.

Money does three jobs — not all at once

Textbooks give money three functions: store of value, medium of exchange, unit of account. Bitcoin is doing the first job now. That is the product. People and firms volunteer to hold a bearer claim that cannot be diluted by the same process that expands M2.

It is not yet the yardstick. Almost no one writes rent, payroll, or a mortgage in sats. Businesses that accept bitcoin still price in fiat. Judging a store of value by unit-of-account criteria is a category error. Gold was a reserve and a settlement asset long before most prices were written in ounces. The dollar is a unit of account by law and habit. Its record as a store of value is why the second option exists.

You do not need all three functions on day one. Sequencing is how money actually spreads: save first, settle where it is cheaper, denominate last.

Relativity vs volatility

Quote bitcoin in dollars and bitcoin looks unstable. Quote a house, a wage, or a Treasury in bitcoin and the dollar looks unstable. Nothing in the good changed. The measuring stick did. Emerging-market currencies look chaotic for the same reason: we quote them in dollars.

Two limits keep this honest. First, the switch — if it comes — is gradual. A parallel system can gain share for a long time while fiat still clears most of GDP. Second, bitcoin's own dollar volatility has already compressed as the market matured. Deeper books and longer-duration holders can calm the series without erasing the policy mismatch. The pair stays high-beta because one stock is a rule and the other is a choice made in treasuries and banks.

A parallel system, not a failed dollar

Bitcoin is not a broken version of the existing financial system. It is a parallel one. It has its own currency, its own monetary policy, and its own settlement: final transfer of a bearer claim, without a commercial bank or a central bank as the clearing house. Anyone can hold the reserve asset directly. Public companies that put bitcoin on the balance sheet are just the listed version of that choice.

The dollar system still clears wages, taxes, most debt, and most GDP. Coexistence is the base case, not a halfway house. The BTC/USD rate is simply the floating exchange rate between the two regimes.

That stack already hints at a division of labor. Bitcoin is the thing you save and settle in. An elastic token — bank deposits, T-bill funds, a regulated stablecoin — is the thing you spend. People who refuse to hoard the elastic token will turn it over quickly; high velocity in the spending stock is what you get when the savings asset sits next door. You already see the edge of this in treasury desks, remittances, and cross-border settlement: a neutral claim that does not require either side to hold the other country's credit money.

Bitcoin doesn't solve macroeconomic problems

Bitcoin is often sold as a macroeconomic tool: the thing that will fix inflation, close the deficit, or replace the central bank. That is the wrong scale. Participation is voluntary. Nobody is drafted, and nobody adopts it by decree. A household or a firm decides whether to hold part of its savings under a rule instead of under an authority. That is a portfolio decision and a property-rights decision. It is microeconomics.

It does not set the policy rate, tax, run the labor market, or manage aggregate demand. It protects the chooser.

The exit option still has a macroeconomic shadow, and it should be stated carefully. If balances can leave the local unit for a bearer reserve, bad policy gets more expensive. That is capital mobility, not a forecast that fiat states vanish. The cost of debasement becomes more visible when a parallel reserve exists.

Time and market share change the numeraire. They do not need to abolish the dollar first. Until they do, economists will keep measuring bitcoin in dollars and calling the measuring stick "Bitcoin's volatility." Inside the parallel system the policy is already stable. What gets called Bitcoin's volatility is the dollar moving against that rule.

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